TELLICO VILLAGE POA

OBJECTIVE OBSERVER REPORT

Town Hall (April 13, 2026) & Board Meeting (April 15, 2026)

EXECUTIVE SUMMARY

April 2026 was the most substantive pair of meetings since the new board took office. The Tennessee Board of Utility Regulation (TBOUR) bill passed the Tennessee House 91–0 and is on track for Senate passage. Financial results continue to run well ahead of plan. The employee satisfaction survey is ahead of schedule. A veterans and first responders monument was approved through Timeless Tellico. These are real achievements.

Against that backdrop, three significant concerns emerged. First, the board rejected the PAC committee's 5-2 engineering firm recommendation for the Kahite lift station — then failed to pass a competing motion — leaving the project in limbo with an active TDEC consent decree in force. Second, it emerged during budget discussions that a $2 million federal grant for the main pump station has had no invoice submitted in over a year, leaving federal money unclaimed. Third, the GM search process was publicly critiqued by a credentialed professional at the town hall with specific, substantive concerns; the board's response disclosed only that "final best offers" are being evaluated — four months into a process that was expected to conclude in roughly that timeframe.

Additionally, ongoing unauthorized use of Parks & Recreation facilities was acknowledged publicly for the first time, and a reserve study was quietly admitted to contain material errors — a concern that has implications for capital planning and future assessments.

SECTION 1: GENUINE POSITIVES — A STRONG MONTH ON SEVERAL FRONTS

This report documents concerns, but April's record is genuinely positive in several areas and that deserves explicit acknowledgment before problems are addressed.

- Scott Macrae's final Tanasi update documented a project returned to schedule after weather delays, with meticulous attention to quality and detail throughout. This is a significant community milestone years in the making.
- The TBOUR bill passed the Tennessee House 91–0. Lackey also disclosed an important benefit not previously highlighted: TBOUR registration will allow Tellico Village to apply for federal and state grants for water/sewer infrastructure, a capability it has never had. This changes the long-term capital financing picture substantially.
- Financial results through March are strong: reserve contributions 113% better than plan year-to-date ($1.3 million ahead), expenses 7% under budget, subsidies 31% better than plan. Parks and Recreation is generating a modest surplus.

- The employee satisfaction survey is dramatically ahead of schedule. Otto's team completed 192 in-person survey sessions covering nearly all full-time staff, achieving 95% statistical confidence. The methodology — anonymous, off-POA servers, with results going first to a private board session before department heads — is sound. This is the best-executed initiative of the new board's tenure.
- Timeless Tellico Foundation completed its $185,000 fundraising goal for the golf simulators. The veterans and first responders monument proposal was thoughtful, self-funded, and well-received.
- Wells McClure's three rough mower procurement was, as with his January capital requests, exemplary: competitive bids from three vendors, lease vs. purchase analysis, 2024 pricing honored saving $14,000, and a documented track record of 14 seasons on the outgoing equipment. The Toqua pump house project, led by Wells with significant cost savings through local contractor substitution ($136,000 saved vs. original bid), is on track to finish under budget.
- Kahite first responders receiving wellness memberships was a fair and low-cost equity adjustment, handled quickly and without controversy.

CONCERN 1: THE KAHITI LIFT STATION — A FAILED VOTE LEAVES A CRITICAL PROJECT ADRIFT

The most significant governance event of the April meetings was the failure of the motion to award the Kahite lift station engineering contract to CTI Engineers. The vote was 4 in favor, 2 opposed, 1 abstention — and Lackey declared the measure failed. This leaves a project that has been in development for over a year without an engineering firm, while an active TDEC consent order is in place for Kahite lift station overflows.

1a. The Board Rejected Its Own Advisory Committee's Recommendation

The Public Services Advisory Committee (PAC) evaluated three engineering firms and voted 5-2 to recommend CTI Engineers of Chattanooga. Board member Joel and project manager Scott Macrae supported that recommendation. The dissenting votes on the board came primarily from board members Joel (who wanted C2RL, recommended by TASS/Tellico Area Service System) and Larry. Joel's stated reasoning was the close working relationship between C2RL and TASS, which provides Kahite's wastewater service.

Scott's counter-arguments were specific and technical: CTI is a full-service engineering firm with in-house mechanical, structural, electrical, and instrumentation capabilities; C2RL is civil-only and subcontracts all other disciplines. Scott also raised a potential conflict-of-interest concern: C2RL's primary client relationship is with TASS, and if design decisions ever created tension between POA interests and TASS interests, a small 12-person firm cannot internally wall those off.

Board member Carla stated what should have been dispositive:

> *"We have some very qualified people who serve on our public services advisory committee and this board approved and appointed those committee members. It's always a little concerning to me when we ignore their advice. We have a lot of engineers on the PAC committee."*

[Board Meeting ~2:35:07]

This concern echoes findings from December 2025 and January 2026: the board majority has a recurring pattern of overriding advisory committee recommendations when board members have a personal preference. PAC exists precisely to provide engineering expertise that the board does not have. A 5-2 PAC vote is not a close call.

1b. No Alternative Motion Was Made — The Project Is Now in Limbo

After the CTI motion failed, no board member moved to approve C2RL. The Kahite lift station engineering contract is now unawarded. As Scott Macrae pointedly observed in a question from board member Carla:

> *"CTI may not be there. They're going to move on. Where is that in your risk assessment?"*

[Board Meeting ~2:39:07, paraphrased from Carla's remarks]

A firm that has already invested time visiting the site, meeting with PAC, and responding to detailed proposals has no obligation to hold capacity indefinitely while a board reconsiders. If the board ultimately returns to CTI, they may face higher prices, longer lead times, or outright unavailability.

Meanwhile, there is an active TDEC consent order for four Kahite overflows. The overflow risk is not theoretical; as Scott noted during his update, the discharge line currently limits flow to approximately 500 gallons per minute — and heavy rains can push flows to 480 gallons per minute, leaving almost no margin. The board's disagreement about which engineering firm to use does not pause the infrastructure risk.

Scott also made a procedural observation worth flagging: the board originally approved $240,000 for Jacobs Engineering on this project, of which Jacobs spent only $40,000. That leaves approximately $199,000 in previously approved budget authority still available for a new engineering firm. The board has the funding. The impasse is entirely about firm selection.

CONCERN 2: $2 MILLION IN FEDERAL GRANT MONEY UNINVOICED FOR OVER A YEAR

During the Kahite discussion, Scott Macrae made a disclosure that deserved far more attention than it received:

> *"We haven't submitted an invoice in over a year. $2 million is dangling out there that we haven't done anything with. So I'm meeting with the grantor — we're the grantee — we're meeting with the grantor to see what we have to do to button that down and how we get the invoices to them so that we can get paid."*

[Board Meeting ~2:43:35]

This refers to the $2.1 million federal grant for the main pump station project. The grant was a central talking point throughout the construction process — prominently displayed at the site as a condition of the grant. Failing to submit invoices for over a year is not a minor administrative oversight; federal grants typically have specific drawdown schedules, reporting requirements, and compliance windows. Unused grant authority can expire, be recaptured, or create audit findings.

Scott says he is now addressing it, which is positive. But the question of how this was allowed to lapse for more than a year — during which multiple board meetings occurred, multiple project updates were presented, and no one flagged the billing gap — has not been answered. Property owners should receive an explicit update on: the current status of the grant drawdown, whether there is any risk of forfeiture, and what administrative controls will prevent this from happening again.

CONCERN 3: THE GM SEARCH — SUBSTANTIVE PUBLIC CRITIQUE MET WITH NON-ANSWER

At the town hall, Scott Brown — identified as a professional with a career in financial reporting, audit, governance, and operational evaluation — delivered the most pointed and specific critique of the GM/IEL search process yet heard at a public meeting. His remarks were measured, professional, and credentialed:

> *"As described, it appears to combine three very different activities — benchmarking, interim leadership, and organizational design — into a single engagement. Those are typically distinct phases with different objectives, timelines, and measures of success. Benchmarking is typically a time-defined activity, often measured in weeks, perhaps months. When those are combined, it becomes difficult to understand what specific problem is being solved at each stage, how success will be measured, and how to evaluate whether the engagement is delivering value."*

[Town Hall ~1:35:46]

Brown also challenged the need for the combined structure:

> *"The organization has already been operating under interim leadership for over a year, which would normally provide a meaningful basis to assess operations and identify gaps. So it is not clear why this requires installing full-time interim leadership before benchmarking results have been evaluated and then extending that effort over a prolonged period."*

[Town Hall ~1:36:46]

He concluded: if the board has defined the specific operational problems being solved, the measurable outcomes for success, and the point at which the engagement ends, those should be readily sharable at a high level. If they have not been defined, the board is proceeding without clear criteria for success or completion.

Lackey's response disclosed only that the board is in "negotiations and final best offers from our vendors." This is a meaningful update — it implies a selection is imminent — but it is not a substantive response to Brown's governance critique. The three specific questions Brown raised (what problem does this solve, how will success be measured, when does it end) remain unanswered after four months of community questions about this process.

Resident Linda Garza provided the most useful framing of what residents actually need:

> *"I think even something as simple as what you just said — here's where we're at, we can't share a lot but here's our status — adds a lot of value. Just from a communication standpoint."*

[Town Hall ~1:38:56]

This is a fair and reasonable ask. The board can communicate direction without disclosing confidential negotiation terms. Lackey has been willing to do so on other topics. The persistent

opacity on the GM search — the village's most consequential personnel decision — remains the most consistent governance concern across every monthly report in this series.

CONCERN 4: PARKS & RECREATION FACILITIES — UNAUTHORIZED USE ACKNOWLEDGED, SCOPE UNCLEAR

Parks & Recreation Director Simon Bradbury used the town hall to publicly acknowledge a cost recovery problem that has apparently existed for years: residents are using facilities — pools, pickleball courts, tennis courts, fitness spaces — without being paying members of Parks & Recreation. He framed it constructively, presenting solutions alongside the problem.

Board liaison Larry called it "theft of services," which is legally accurate. Simon said that spot-checking courts and facilities currently requires approximately 40 staff hours per month — an ongoing labor cost with no endpoint. Simon was unable to say how long the problem has existed or quantify the revenue impact:

> *"Based on our resources and how we've been operating it, I'm here for nine and a half years. Nine and a half years has been the issue of cost recovery each time."*
>
> **[Town Hall ~1:17:33]**

This is a striking admission. A nine-year-old problem was described as "recurring" without any prior public disclosure or formal remediation plan. The meeting's response was constructive — community awareness, pickleball club cooperation, fob system improvements. Board member David suggested the long-term solution is technological (turnstiles with fob access, or AI recognition), and asked Simon to bring a formal plan to the next meeting.

Three observations from an objective observer: First, if this is a nine-year problem, earlier boards should have been addressing it, and the scale of potential revenue loss deserves at least an estimate. Second, the 40-hours-per-month of manual enforcement labor is a recurring operational cost that should be quantified and tracked. Third, the technological solutions David mentioned — turnstiles, fob access points — carry capital costs and will require a formal proposal and budget before implementation. The community deserves to understand the full picture before these investments are made.

CONCERN 5: RESERVE STUDY ERRORS QUIETLY ACKNOWLEDGED

During the balanced scorecard preventive maintenance discussion, board member Carey made a passing but significant admission about the reserve studies used as a foundation for the new PM program:

> *"We found errors in the last reserve study. Clearly found errors with the first reserve study."*
>
> **[Board Meeting ~2:56:28]**

This was not elaborated on, and no follow-up questions were asked. However, reserve studies are the foundational documents used to set assessment levels and plan capital spending. If both the most recent reserve study and the prior one contain material errors, this has direct implications for: (1) whether the current assessment structure is properly funded, (2) the

accuracy of the capital spending projections the board uses to make decisions, and (3) the long-term sustainability of reserve levels.

An online questioner (Karen Egan) asked a related question: “Was the newest reserve study defective?” The response confirmed that the preventive maintenance team used the reserve study asset list as a starting point but then “went in and re-evaluated and found errors.” This deserves a direct public communication — not just an incidental mention during a scorecard slide review.

CONCERN 6: PATTERN OF OVERRIDING ADVISORY COMMITTEES CONTINUES

The April board meeting’s rejection of the PAC-recommended Kahite engineering firm continues a pattern documented in every monthly report since December 2025:

- December 2025: Food Services Advisory Committee’s unanimous recommendations for four committee positions were overridden wholesale.
- December 2025: Public Services Advisory Committee candidates were pre-selected by the board president before the formal process.
- January 2026: The 250th celebration committee chair was personally nominated by a board liaison without any application process.
- February 2026: Ad hoc committee memberships were not publicly disclosed and populated without open application.
- April 2026: PAC’s 5-2 engineering firm recommendation was rejected in favor of a board member’s personal preference.

None of these individual instances is necessarily disqualifying on its own. Advisory committees are advisory, and the board retains final authority. But the consistency of this pattern — advisory expertise being overridden by board member preference, particularly when the board members lack the relevant technical background — is exactly the structural concern that community members have been raising since December. The December 29 meeting’s chaos was partly a consequence of this dynamic becoming visible. The April Kahite vote makes it visible again.

CONCERN 7: ADDITIONAL ITEMS WORTH TRACKING

7a. Pace of Play at Golf Below Target

The balanced scorecard customer satisfaction results showed golf pace of play at 75% satisfaction against an 85% target — the single most underperforming metric across all surveyed areas. This was noted in the meeting without a corresponding action or root cause discussion. With Tanasi opening, pace of play across three courses will become a more complex management challenge. The board should ensure this is tracked and addressed in the May scorecard update.

7b. Tanasi Restaurant Opening — Staffing May Precede Readiness

Lackey's opening remarks revealed an important operational tension: the new food services director Christine Martinez had only just started, had not yet completed her hiring, and had not finalized her menu as of April 15. Lackey asked residents to "be patient" if the restaurant opening slips a month. This is appropriate expectation-setting, but the risk of opening a high-profile new restaurant before staffing and training are complete is real. An underperforming opening — in terms of service quality, menu execution, or wait times — can set a brand impression that takes years to overcome. The board should ensure Matt and Christine are empowered to delay the restaurant opening until they are genuinely ready, not pressured by calendar optics.

7c. Blue Book Update Process — Positive But Timeline Is Compressed

The ACC blue book update is being released this week, followed by an ACC vote in early May, a town hall, and then a board vote. This is a reasonable compressed process for non-controversial updates. However, the meeting revealed that some changes — such as standards for new-construction demolition permits, solar panel installation rules, and swim spa classifications — are being addressed for the first time. Residents building or planning projects under current rules may be affected by new requirements effective on short notice. The board should ensure sufficient notice is given to any residents who have ACC applications or permits pending during the transition.

7d. Ongoing GM Search — Crossing the One-Year Mark

Matt Benoit has served as interim general manager since mid-2025. The April meetings place the board at or near the one-year mark of interim leadership. In the January 2026 board meeting, Matt himself noted that the GM search was under way and he "wasn't invited" to the board's planning session on his own replacement. April's "final best offers" language suggests a decision may be weeks away. The community has waited patiently through multiple months of "we can't say anything." When the announcement comes, it should include: who was selected, the firm's name, the scope of the engagement, the cost, and a clear answer to Scott Brown's three questions from the town hall.

CROSS-REFERENCE: STATUS OF OPEN ITEMS FROM PRIOR REPORTS

This report series has tracked specific commitments and open questions since December 2025. Here is an update on each:

- TBOUR private act: RESOLVED. Passed Tennessee House 91–0, expected Senate passage by end of April. County mayor approvals proceeding. This closes the most significant regulatory risk facing the village.
- GM search announcement: STILL PENDING. Now in "final best offers" stage per April 13 town hall. No firm announced, no timeline, no cost disclosed. Month 4+ of active process.
- Past water/sewer rate misapplication audit: STILL PENDING. No plan, no timeline, no designated accountable party. Acknowledged as far back as January town hall.

- Kahite lift station engineering: NOW IN LIMBO. CTI motion failed 4-2-1. No alternative motion made. Consent order in place.
- $2M grant drawdown: NEWLY IDENTIFIED. Over a year without invoice submission. Scott says meeting with grantor is scheduled.
- Ad hoc committee membership disclosure: PARTIALLY RESOLVED. Employee satisfaction survey committee (Otto's team) is operating visibly. Other ad hoc committee memberships still not publicly posted.
- Committee appointment standardized process: PARTIALLY RESOLVED. Nominating committee was assigned to develop a standard process in January. No formal published process has been presented or adopted publicly as of April.
- Agenda lead time policy: STILL PENDING. No formal policy adopted.
- Unauthorized Parks & Rec facility use: NEWLY IDENTIFIED. Acknowledged publicly for first time. No formal plan or timeline for resolution.
- Reserve study errors: NEWLY IDENTIFIED. Admitted incidentally during PM program discussion. No formal communication to community about scope or impact.

CONCLUSION

April 2026 was a month of genuine accomplishment alongside governance missteps that have now become familiar. The Tanasi opening is real. The TBOUR victory is real. The financial results are real. The employee satisfaction work is the best-executed initiative of this board's tenure. These things matter and should be acknowledged.

But an objective observer must also note: a board that runs on 'governance in the sunshine' rejected its own appointed expert committee's engineering recommendation and left a consent-order infrastructure project without a path forward. A $2 million federal grant went uninvoiced for over a year, unnoticed by the board until mentioned in passing during a capital discussion. The GM search has passed the one-year mark with no public announcement. Reserve study errors have been quietly discovered but not communicated. Unauthorized use of facilities has been a known issue for nearly a decade.

The board is not doing nothing. But the gap between the transparency it promised and the transparency it delivers on its most sensitive issues — the GM search, past rate misapplication, the Kahite impasse, the grant billing lapse — remains the defining concern of this board's first year.

Community members should watch for:

- A formal motion to award the Kahite lift station engineering contract, whether to CTI or C2RL, at the May board meeting — and any indication of whether CTI remains available.
- A formal update on the $2M grant drawdown status, including whether any funds are at risk.
- The GM search announcement: firm name, engagement scope, cost, and how the board answers Scott Brown's three governance questions.
- A formal response to the reserve study error disclosure: what was wrong, what the corrected figures show, and whether it affects current assessment levels.
- Simon's promised Parks & Rec cost recovery plan at the May town hall.

- The Tanasi restaurant opening date and whether quality standards are met before opening rather than after.

This report covers the April 13 town hall and April 15 board meeting. Previous reports cover December 2025 through March 2026.